

period. The equity proportion is also high right before the 2008 financial crisis. In contrast, the rebalanced strategy actively buys low-priced equities in late 2008 benefiting from the upward movement in prices (low prices, high expected returns) in 2009.

The standard 60%/40% strategy outperforms a 100% bond or 100% stock strategy over the 1926–1940 period (Figure 4.5) and over the 1990–2011 period (Figure 4.6). You should not take away that rebalancing will always outperform 100% asset positions—it won't. In small samples, anything can happen. But I show below that, under certain conditions, rebalancing will always outperform a buy-and-hold portfolio given sufficient time, resulting in a rebalancing premium. The main takeaway from the figures is to understand why rebalancing works for the investor: it cuts back on assets that do well so that they do not dominate in the portfolio. The investor rebalances so that the asset mix is optimal for her risk aversion every period. The 1926–1940 and 1990–2011 samples highlight an additional benefit of rebalancing: it is counter-cyclical, buying when prices are low and selling when prices are high.

Investment Policy Statement

Figures 4.5 and 4.6 may look impressive—but, in practice, rebalancing is hard. It involves buying assets that have lost value and selling those that have risen in price. This goes against human nature. Investors tend to be very reluctant to invest in assets that have experienced large losses. Investors are just as reluctant to relinquish positions that have done extremely well. How many investors can buy an asset because it has lost money? How many institutions can take capital away from traders because they have been successful and give it to their colleagues who have underperformed? The natural tendency of investors is to be *pro-cyclical*, whereas rebalancing is *counter-cyclical*.

Good financial advisors like Harrison, who is helping Daniel, play an important role in counteracting the pro-cyclical tendencies of individual investors. Maymin and Fisher (2011) argue that this is one of the areas where a financial advisor can add most value for a client. The IPS plays an important role in this process. Harrison as a financial advisor was right to insist on the IPS as the foundation of her advisor–client relationship with Daniel.

The IPS helps the investor to be *time consistent*: the investor has made decisions in written form, in consultation with the investment advisor, and in doing so lays out a game plan.⁷ The IPS allows investors to stick to that game plan. Charles Ellis, an indefatigable advocate for the investor, says in *Investment Policy*, a book originally published in 1987 with its original concepts reiterated in many of his other books:⁸

⁷ Kydland and Prescott wrote a famous paper in 1977 showing how to implement time-consistent monetary policy. It won them a Nobel Prize in 2004.

⁸ Especially Ellis's *Winning the Loser's Game: Timeless Strategies for Successful Investing*, in its sixth edition in 2013.